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Corporate Income Tax Gap in Germany

Unterschiedliche Ansätze zur Unternehmensteuerlückenschätzung
NeSt-Webinar, February 20, 2025

Outline

Background

Estimation on corporate income gap

Discussion

Summary and outlook

Publications:

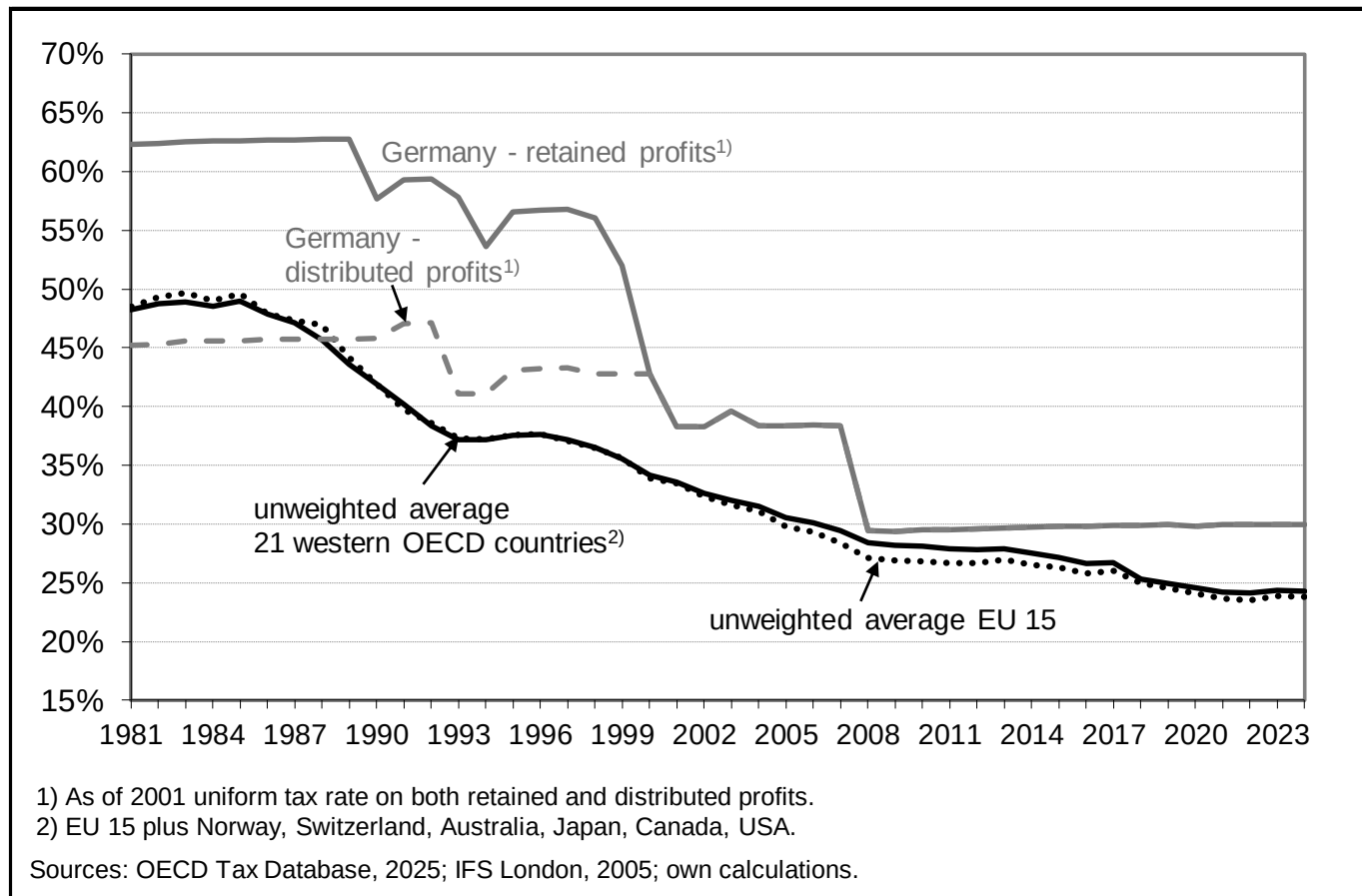
Stefan Bach, Nadja Dwenger (2007): Unternehmensbesteuerung: trotz hoher Steuersätze mäßiges Aufkommen. [DIW Wochenbericht 5/2007](#).

Stefan Bach (2013): Unternehmensbesteuerung: hohe Gewinne - mäßige Steuereinnahmen. [DIW Wochenbericht 22-23/2013](#). English: High Profits, Moderate Tax Revenue. [DIW Economic Bulletin 7/2013](#).

Stefan Bach (2013): Has German Business Income Taxation Raised too Little Revenue over the Last Decades? [DIW Berlin Discussion Paper 1303](#).

Statutory tax rates on corporate income in international comparison, 1981-2024

Company level, excluding taxation of distributed profits at the shareholder level
including sub-central and local government income tax rates
as percent of taxable income



Insufficient data sources for tax gap calculations

Official tax statistics from tax returns

Only contain information from tax return forms

No detailed data from tax accounting (balance, income statement)

Published financial statements of firms

Only available for larger incorporated firms

- No detailed information
- SMEs, holdings: non-disclosure

Do not include specific adjustments for tax purposes

- Asset valuation, allocation of provisions, loss offset, consolidation/tax group

National accounts

Combined aggregated data

Distribution approach:

Top down residual determination of entrepreneurial income

Estimation on corporate income gap

Corporate income from tax statistics

Adjusted gross income

- Local business tax, corporate income tax (CIT), personal income tax (partnerships)

Tax liability, loss carryforward

Modified corporate income from national accounts

Corporate income from national accounts

- B.4n, S.11+S.12: Entrepreneurial income
- Approximation of “true” economic income

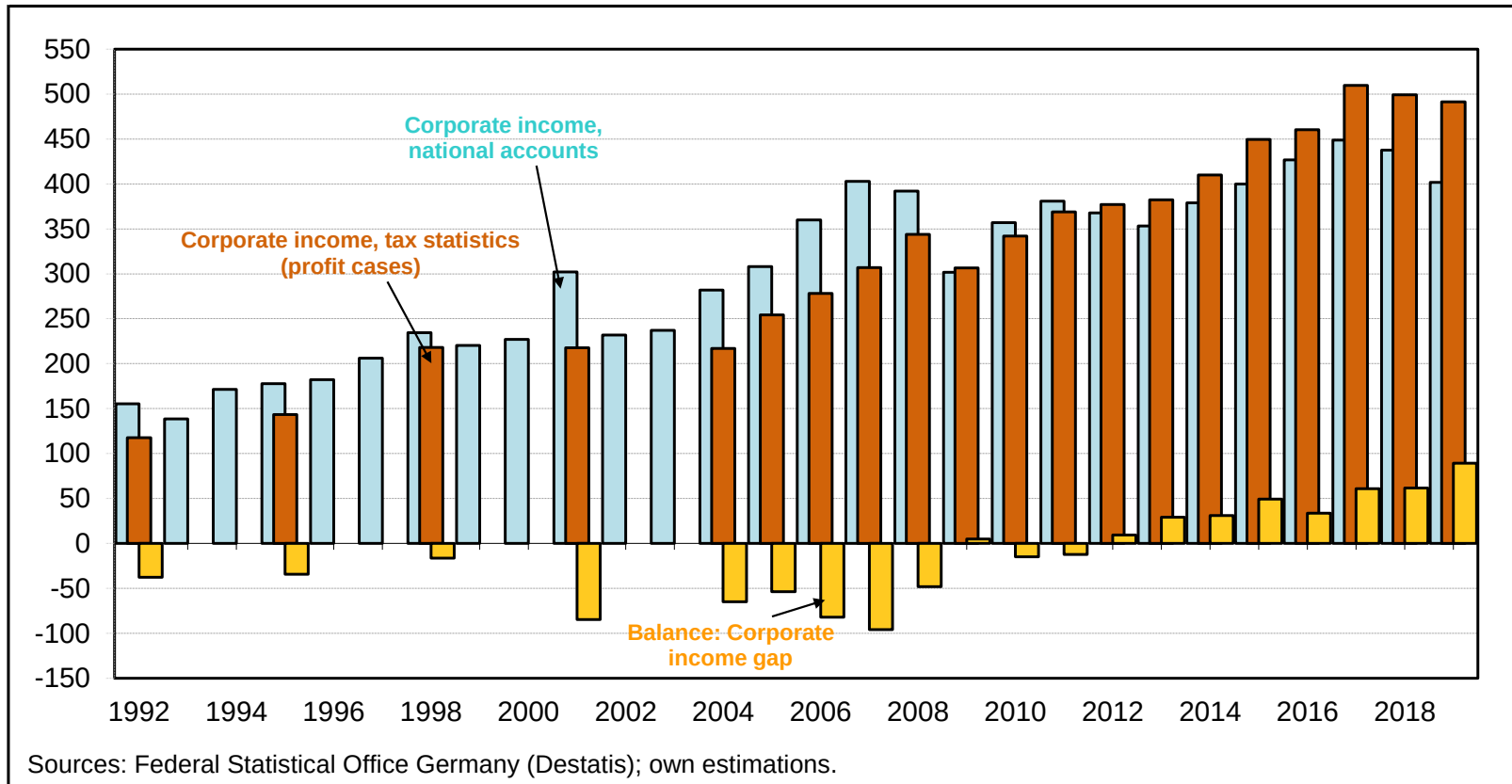
Adjustments for tax exempted items

- Deduction of dividend income received, estimations on non-taxable subsidies and other exempted income, local business tax liability (deductible from corporate income up to 2007)

Difference as corporate income gap

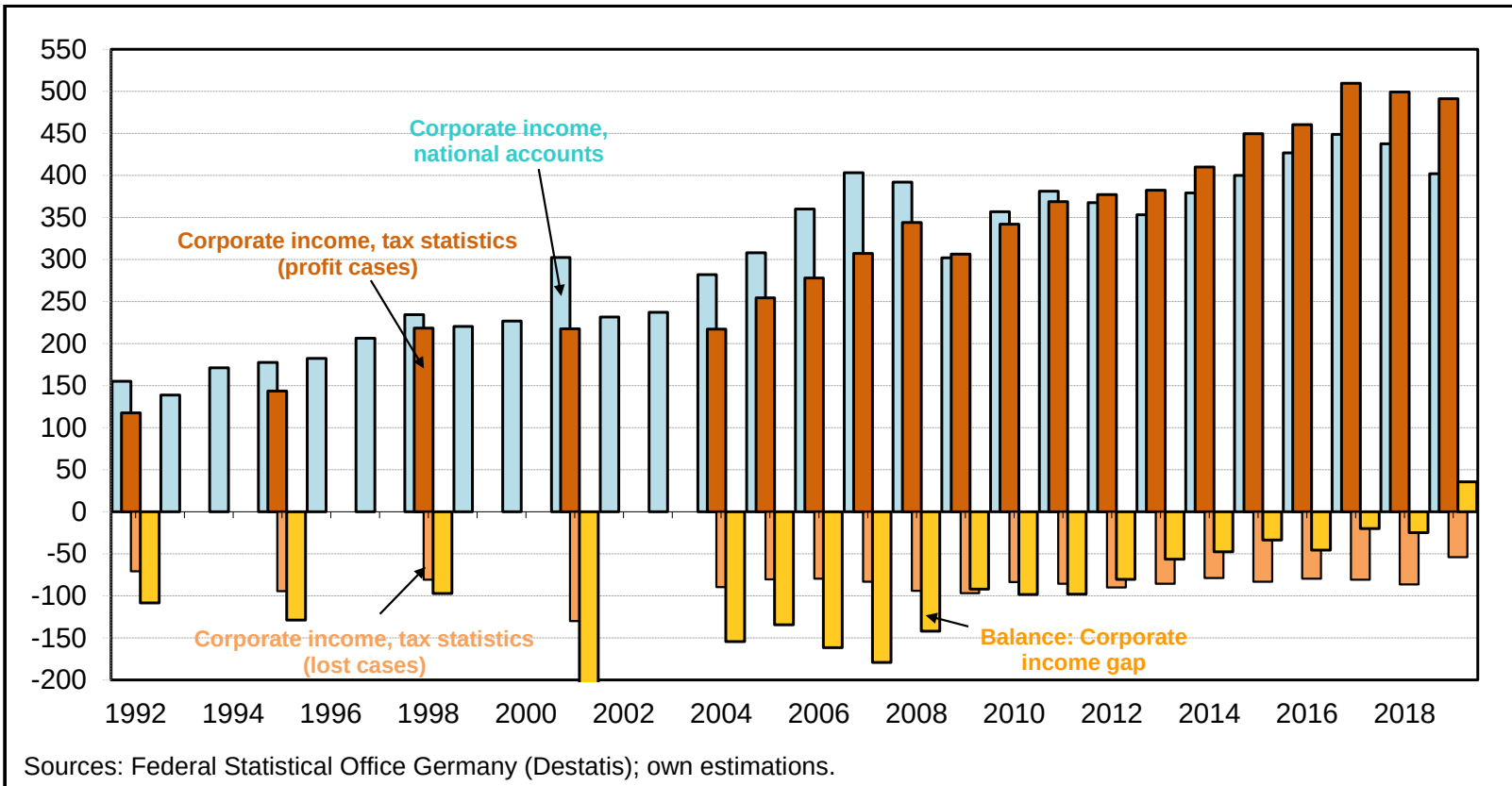
Corporate income in national accounts and tax statistics (*profit cases*), Germany 1992-2019

billion Euro



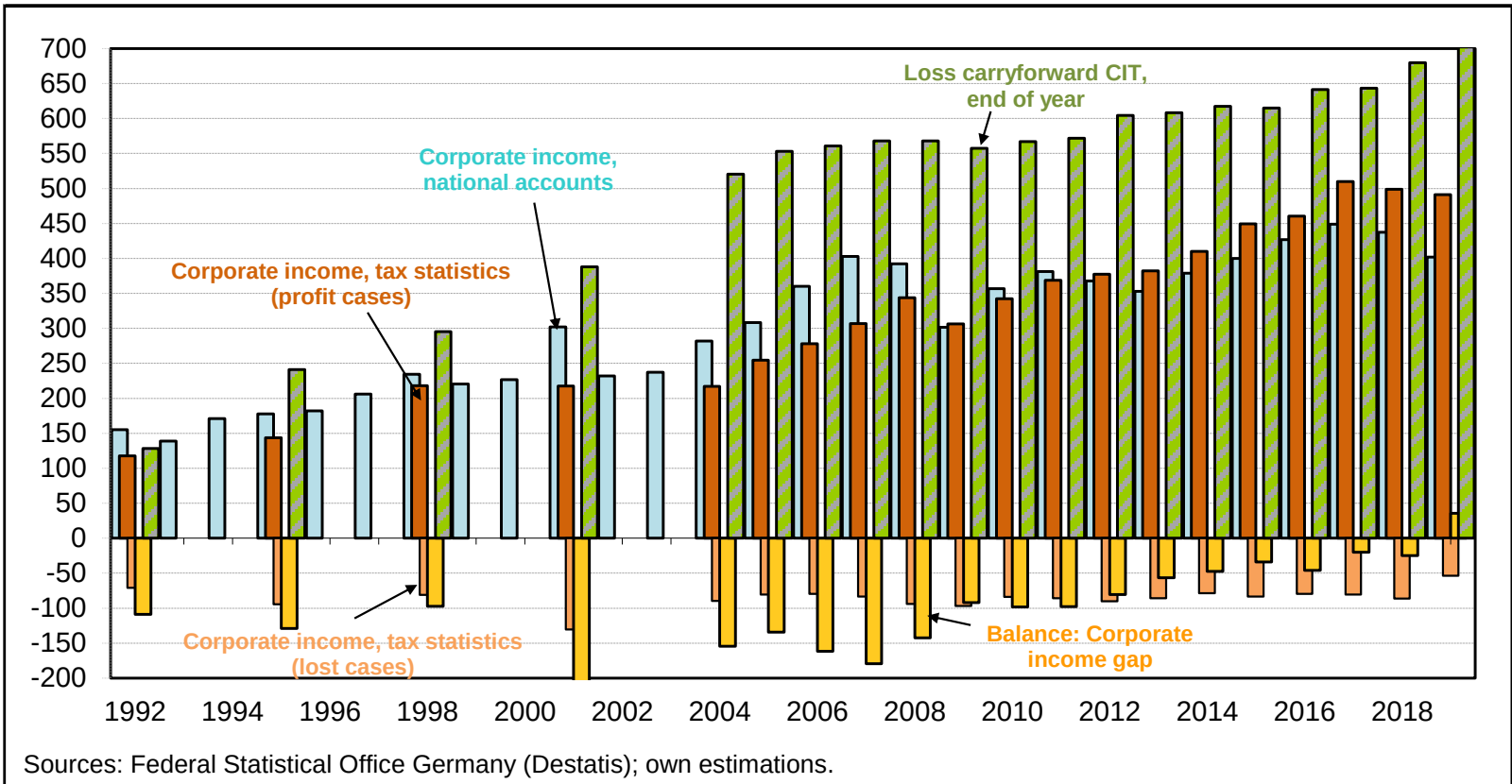
Corporate income in national accounts and tax statistics, Germany 1992-2019

billion Euro



Corporate income in national accounts and tax statistics, Germany 1992-2019

billion Euro



**Tax revenue, corporate income, and implicit tax rates of corporations incl. partnerships
1992-2019**

	1992	1995	1998	2001	2004	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019
	billion Euro																	
Taxes on corporate income ¹⁾	49,6	50,3	66,8	50,3	62,0	91,3	80,1	67,8	77,0	83,9	86,0	88,5	96,9	103,9	107,8	117,5	119,2	118,4
Reference income corporations, national accounts																		
Entrepreneurial income, corporations	187,5	209,9	272,8	316,9	377,9	544,0	459,9	377,7	452,5	492,4	465,3	448,9	480,4	493,3	559,3	565,7	612,4	574,1
- reinvested earnings on foreign investm. received	- 1,1	0,8	1,9	- 19,8	18,8	30,9	- 21,0	15,8	20,0	31,3	20,0	17,9	18,2	12,3	36,7	20,1	58,3	53,3
- dividend income from residents (estimation)	7,6	13,0	27,0	76,0	33,5	48,8	52,4	19,7	27,3	31,4	35,6	30,2	31,9	30,3	39,4	36,0	44,5	43,9
Corporate income, European Commission	181,0	196,1	243,9	260,7	325,6	464,3	428,5	342,2	405,2	429,7	409,6	400,8	430,3	450,7	483,3	509,6	509,7	476,9
- other dividend income received	7,0	8,7	13,9	30,9	31,8	47,7	53,5	40,4	54,4	54,2	55,9	62,1	61,6	69,1	70,9	83,7	90,2	94,1
- non-taxable subsidies (estimated), corporate income of the central reserve bank	11,6	10,8	11,8	11,1	5,3	10,3	10,6	13,4	9,8	9,5	8,4	8,9	13,4	11,8	11,0	9,9	11,4	12,8
Modified corporate income	162,4	176,5	218,2	218,7	288,5	406,3	364,4	288,5	341,1	366,0	345,4	329,8	355,2	369,9	401,4	416,0	408,1	370,0
	percent																	
Implicit tax rates																		
based on corporate income, European Commission	27,4	25,7	27,4	19,3	19,1	19,7	18,7	19,8	19,0	19,5	21,0	22,1	22,5	23,1	22,3	23,1	23,4	24,8
based on modified corporate income	30,5	28,5	30,6	23,0	21,5	22,5	22,0	23,5	22,6	22,9	24,9	26,8	27,3	28,1	26,9	28,3	29,2	32,0
For comparison: statutory tax rates ²⁾	47,1	43,1	42,8	38,3	38,3	38,4	29,4	29,4	29,5	29,6	29,6	29,6	29,7	29,8	29,8	29,9	29,9	29,9
1) Results from the tax statistics of the respective year. Local business tax, corporate income tax, personal income tax share on partnership income, solidarity surcharge.- 2) Of incorporated firms: corporate income tax (until 2001 on distributed profits), solidarity surcharge, local business tax, excluding taxation of distributed profits at the shareholder level.																		
Sources: Federal Statistical Office Germany (Destatis); own estimations.																		

Discussion

Reliability of corporate income aggregates of national accounts

Conceptual differences in the income definition, accretion over time

Additions for under-reporting (however: accrued to household sector)

Estimation of tax-exempted income

Residual determination of entrepreneurial income

- “balancing differences” for GDP estimation up to 2 percent of GDP

Income gap for the entire corporate sector

Both SMEs and multinationals

Underestimation with respect to international tax avoidance / BEPS

- Use of transfer pricing, thin capitalization, royalties, etc.
- Would impair national accounts corporate income in the same way?

Alternative: Bottom-up calculations for Germany

Using published financial statements

- Studies on the impact of taxation on (direct) investment, finance structure, legal form
- Finke (2014): diff-estimation on profit-shifting of multinationals / BEPS: € 9bn tax gap

Thank You for Your Attention!

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